IS 414:
IS SECURITY & CONTROLS

Dr. Taylor Wells

Admin

- Personal Risk Assessment

FRAUD

STORAGE BOXES

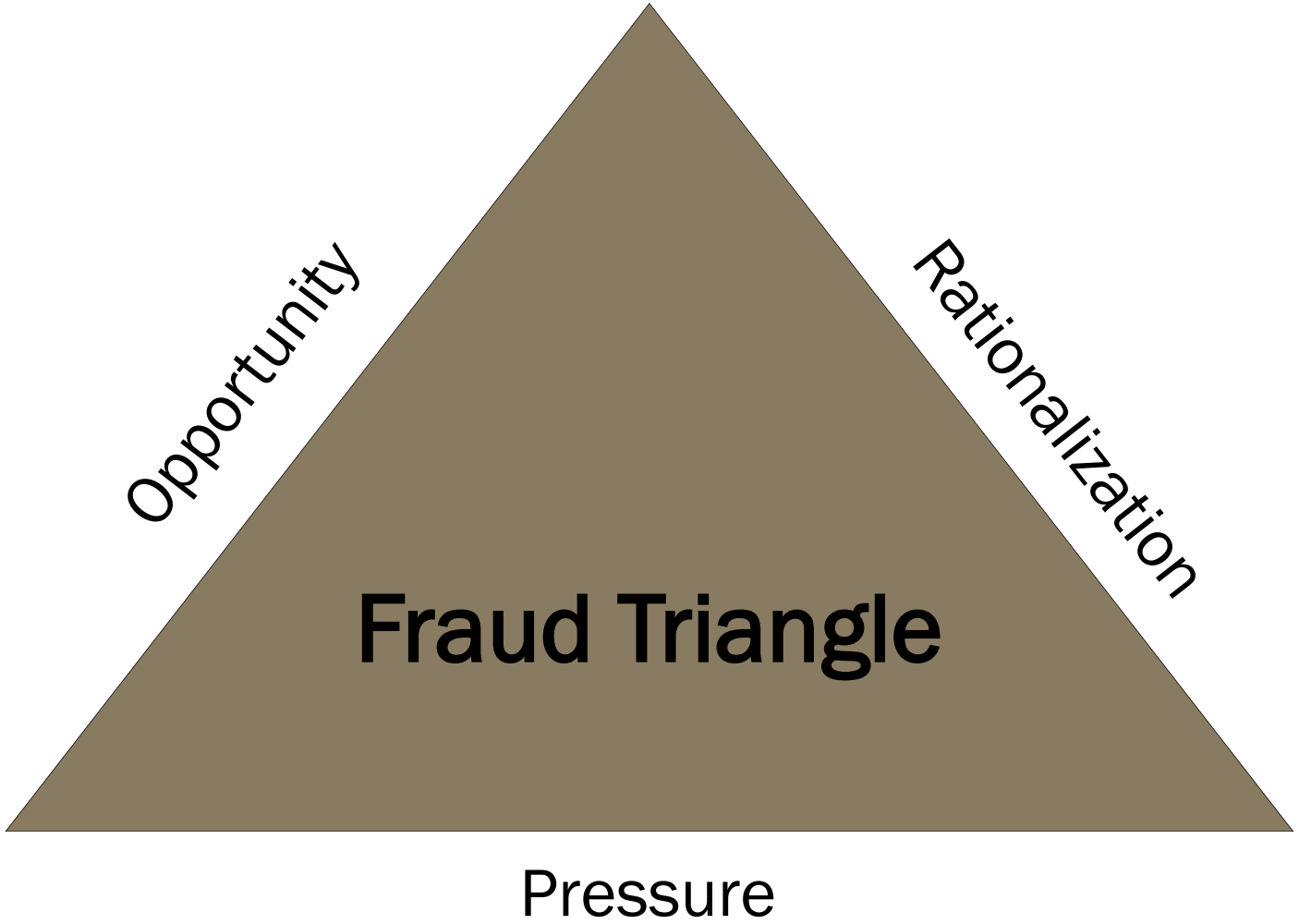
Fraud

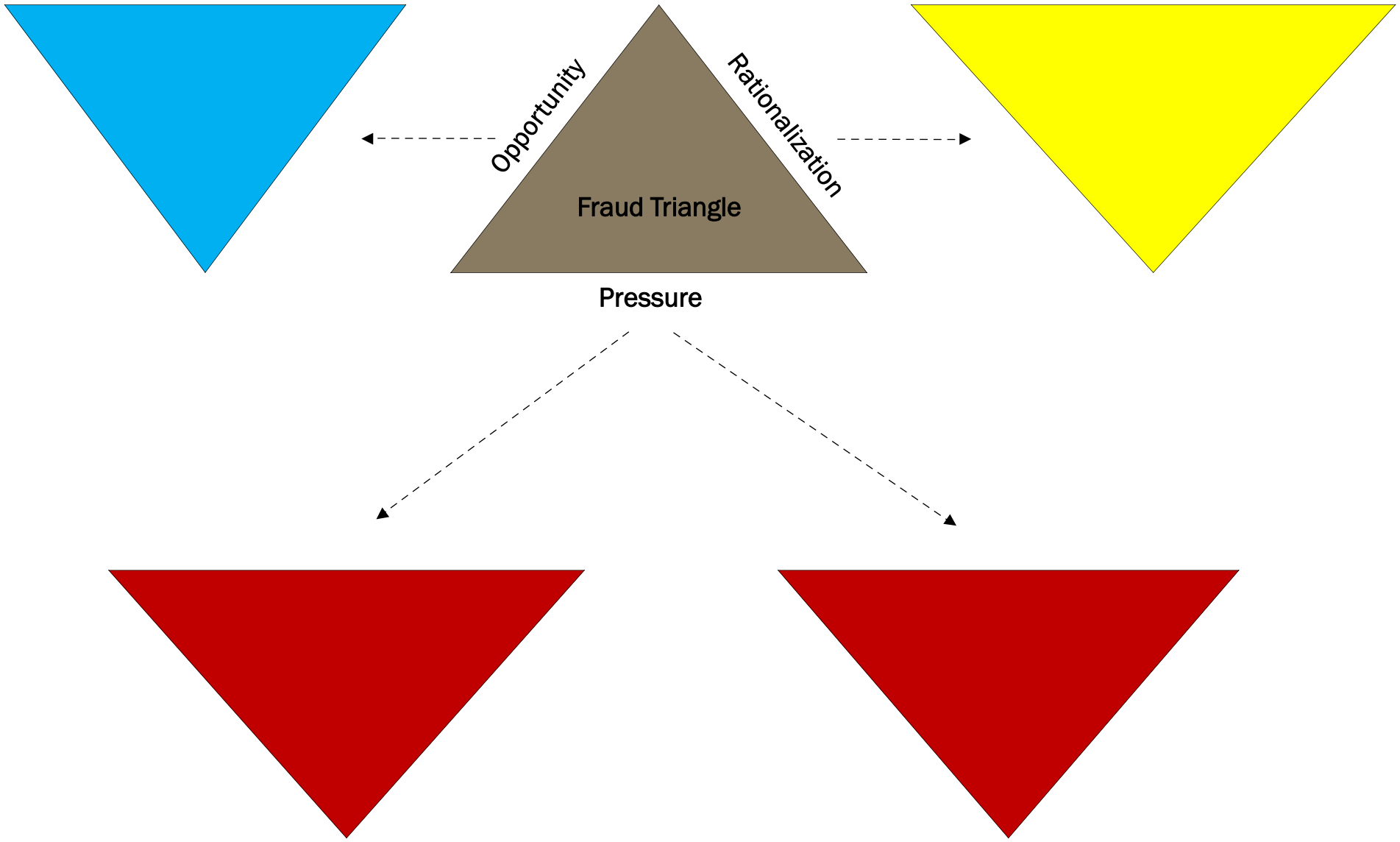
- Define fraud
  - *Gaining an unfair advantage over another person*
- Legally, for an act to be fraudulent there must be:
  - *A false statement, representation, or disclosure*
  - *A material fact that induces a person to act*
  - *An intent to deceive*
  - *A justifiable reliance; the person relies on the misrepresentation to take an action*
  - *An injury or loss suffered by the victim*
- Individuals who commit fraud are referred to as white-collar criminals.

WHAT CAN YOU DO WITH A SSN?

WHAT CAN YOU DO WITH A SSN?

Or What can you do with 143 million SSNs?


Opportunity
Rationalization
Fraud Triangle
Pressure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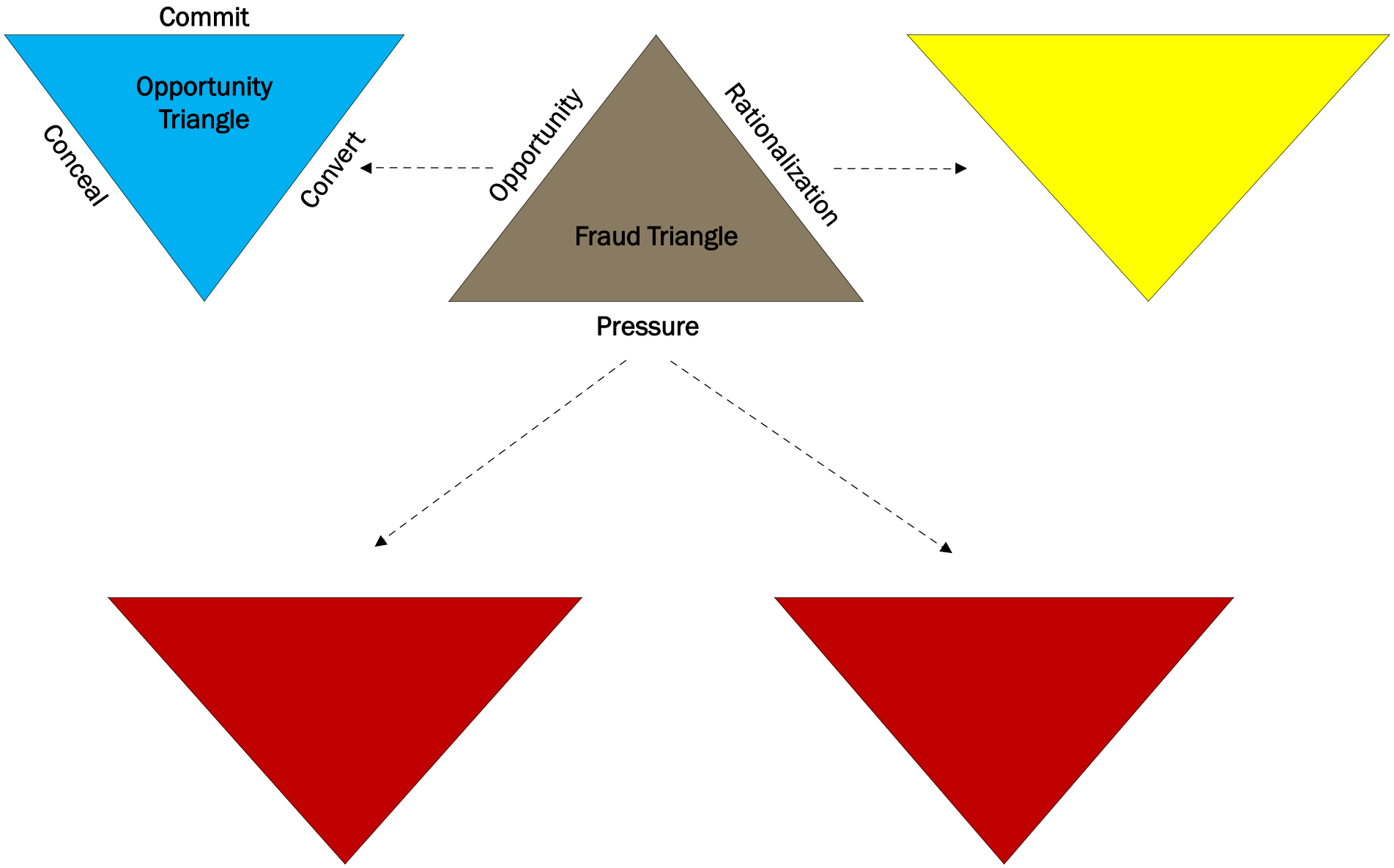
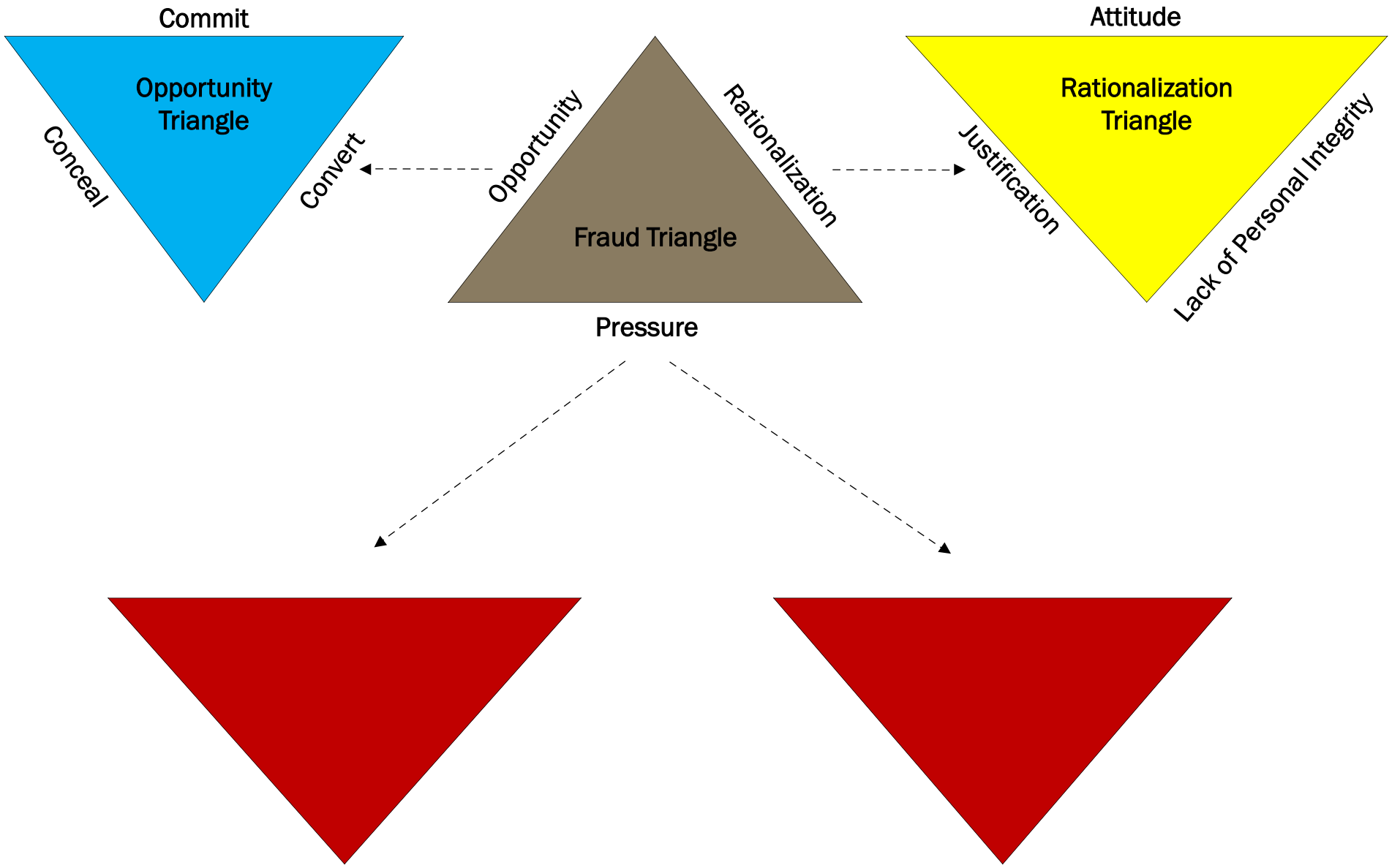

Commit
Opportunity Triangle
Conceal
Convert
Opportunity
Rationalization
Fraud Triangle
Pressure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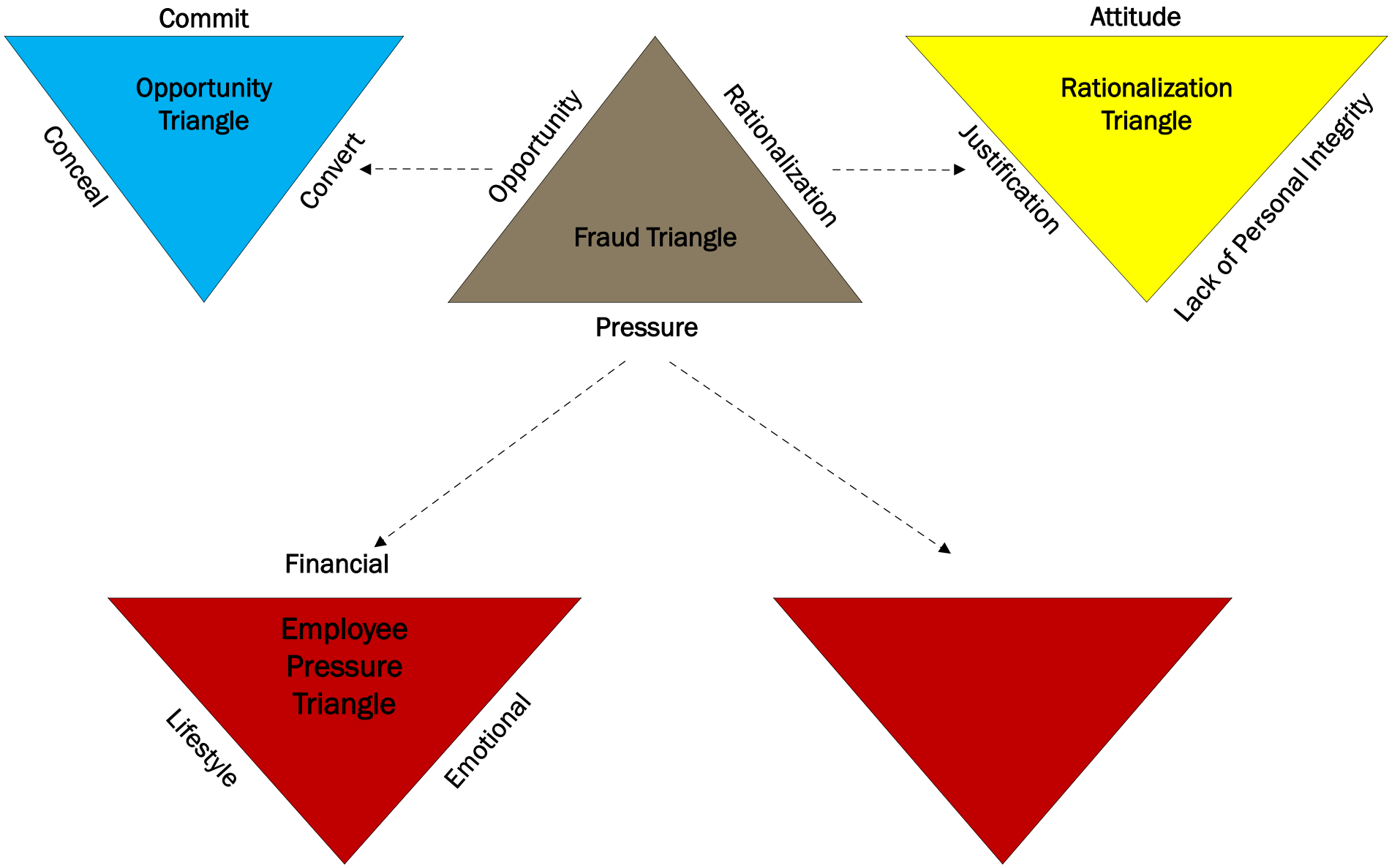
Attitude
Rationalization Triangle
Justification
Lack of Personal Integrity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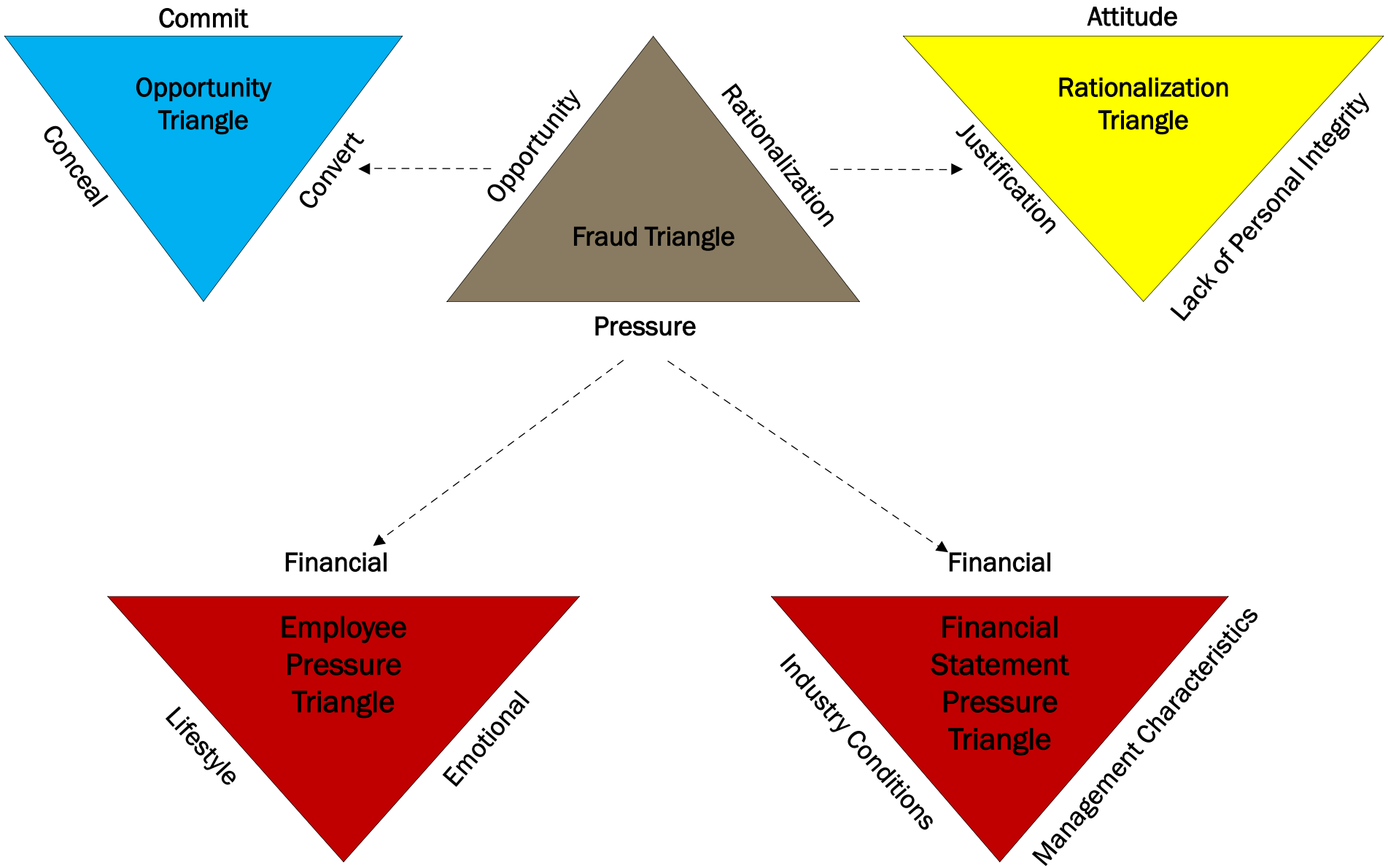
Pressure
Financial
Employee Pressure Triangle
Lifestyle
Emotional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Pressure
Financial
Employee Pressure Triangle
Lifestyle
Emotional
Financial
Financial Statement Pressure Triangle
Industry Conditions
Management Characteristics

FRAUD METHODS

Some Fraud Methods

- Blackmail
- Cramming
- Credit Card Fraud (ATM Skimming or ATM Shimming)
- Cryptocurrency Scams
- Friendly Fraud (Chargeback Fraud)
- Identity Theft
- Impersonation
- Nigerian Letter or “419” Fraud
- Phishing
- Phreaking
- Pretexting
- Ransomware And Scareware
- Salami Technique (Salami Slicing)
- Skimming
- Smishing (SMS Phishing)
- Structuring (Smurfing)
- Triangulation Fraud
- Vishing (Voice Phishing)

- How do fraudsters use personal data?
- What pieces of personal information are most valuable to identity fraudsters?

Fraud Prevention and Mitigation

- To prevent and detect fraud and abuse:
  - *Make fraud less likely to occur*
  - *Increase the difficulty of committing fraud*
  - *Improve fraud detection methods*
  - *Reduce fraud losses*
- Give me examples

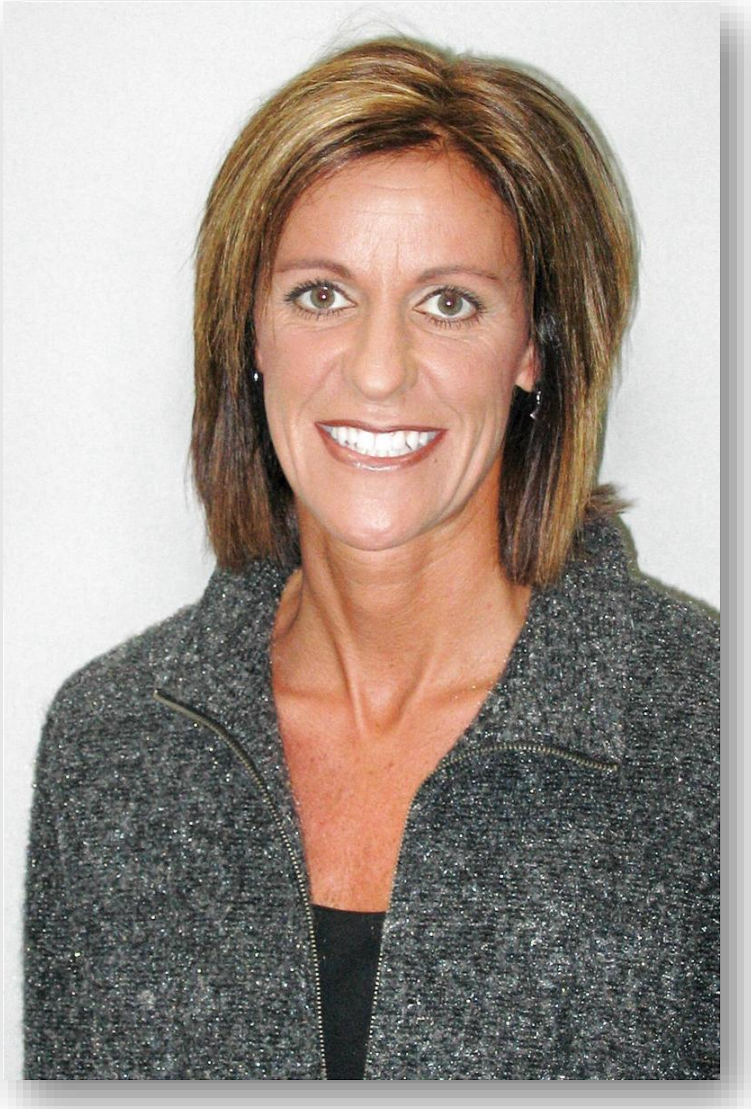
ONE REAL LIFE EXAMPLE OF FRAUD

Diann Cattani,
convicted fraudster,
describes her own
slippery slope to major fraud.

WHAT LED TO THIS FRAUD?

What is your price?

Diann Cattani
BYU Marriott grad
Former member of BYU volleyball team



https://www.deseret.com/2011/3/6/20177489/greed-is-no-respecter-of-persons-y-grad-convicted-felon-shares-her-cautionary-tale

A MORE RECENT EXAMPLE …

Ready to Invest?

Ruja Ingnatova

Universität Konstanz

McKinsey & Company

Gusswerk Waltenhofen

- Father purchased Gusswerk Waltenhofen, a casting factory and Ruja became CEO
- Ran company into ground and scammed employees
- Pled guilty to bankruptcy, bank fraud and illegal accounting; sentenced to 14 months in German Prison

How do you move on from that?

OneCoin

DAVINA

OneCoinVoice
КРИПТОВАЛУТА С БЪЛГАРСКИ ПРОИЗХОД
Forbes
2015
СПИСЪКЪТ
МИДАС
Д-Р РУЖА ИГНАТОВА
КАК ФИНАНСОВИЯТ
СВЯТ МОЖЕ ДА БЪДЕ
ПРОМЕНЕН С ONECOIN
BrandVoice ОТ ONECOIN
БЪДЕЩЕТО НА РАЗПЛАЩАНИЯТА

The Cryptoqueen

- OneCoin was a Ponzi scheme (branded as an MLM) where commissions were paid for recruiting others to buy packages
- Brought in $3.8 Billion
- Lawyer Mark Scott was brought in to set up shell companies, offshore accounts, and investment funds to launder $400M in illegal funds and was paid $50M

HQ in Bulgaria Raided Jan 2018

THE CRYPTOQUEEN - AFTERMATH

- Konstantin Ignatova
  - *Arrested in LA and signed plea deal to testify against Scott*
  - *Sentenced to 90 years in prison; sentencing pending other cases*
- Mark Scott
  - *Convicted of conspiracy to commit money laundering and conspiracy to commit bank fraud*
  - *Disbarred November 2020*
  - *Denied Retrial September 2023*
- Karl Sebastian Greenwood
  - *Fled to Thailand; extradited to US*
  - *Pled guilty in US Federal Court December 2022*
  - *Sentenced to 20 years in prison*

THE
MISSING
CRYPTO
QUEEN

IN NOV 2021, IT WAS REVEALED THAT IGNATOVA OWNED A £13.5M LONDON PENTHOUSE WITH £500,000 IN ART

FBI TEN MOST WANTED FUGITIVE

RUJA IGNATOVA

Conspiracy to Commit Wire Fraud; Wire Fraud; Conspiracy to Commit Money Laundering; Conspiracy to Commit Securities Fraud; Securities Fraud

DESCRIPTION

Aliases: Dr. Ruja Ignatova, Ruja Plamenova Ignatova, Ruja P. Ignatova, "CryptoQueen"	
Date(s) of Birth Used: May 30, 1980	**Place of Birth:** Bulgaria
Hair: Dark Brown to Black	**Eyes:** Brown
Sex: Female	**Race:** White
Languages: English, German, Bulgarian	

REWARD

The FBI is offering a reward of up to $100,000 for information leading to the arrest of Ruja Ignatova.

REMARKS

Ignatova is believed to travel with armed guards and/or associates. Ignatova may have had plastic surgery or otherwise altered her appearance.

CAUTION

Ruja Ignatova is wanted for her alleged participation in a large-scale fraud scheme. Beginning in approximately 2014, Ignatova and others are alleged to have

WHAT NEXT?